CHAPTER 27

Behavioral Investor Types

No theory of the universe can be satisfactory which does not adequately account for the phenomena of life, especially in that richest form which finds expression in human personality.

—B. H. Streeter

INTRODUCTION

Behavioral investor types (BITs) were designed to help financial market participants (FMPs) make a speedy yet insightful assessment of what type of biases dominate investment decision making. Based on my experience as a financial advisor, combined with the research I have done in behavioral finance, I have identified four BITs: the Preserver, the Follower, the Independent, and the Accumulator. Each BIT has biases that are associated with it, which will be discussed extensively in the next section. BITs are not intended to be "absolutes" but rather "guideposts." For example, you may find that you have classified yourself or a client as a Preserver, but find that they have traits (biases) of a Follower or even an Individualist. The grouping or clustering of biases to define a BIT is done to show that certain investors have a strong *tendency* to certain biases that can dominate investment decision-making behavior. The goal of the use of BITs is to discover irrational behaviors and then, ultimately, to create a behaviorally modified (best practical) asset allocation (that we learned about in earlier chapters) that FMPs can comfortably adhere to, to meet long-term financial goals.

One of the most important concepts readers should keep in mind as they go through the next four sections in this chapter is that the least risk-tolerant BIT and the most risk-tolerant BIT clients are emotionally biased in their behavior. In the middle of the risk scale are BITs that are affected mainly